

SILENCE WITHOUT SANCTION

The Federal Reserve's Communications Blackout, the Bowman Episode, and the Law of an Unenforced Norm

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ABSTRACT

Twice a quarter, for roughly ten days, the most powerful economic policymakers in the United States fall silent. The Federal Open Market Committee's communications "blackout period" forbids Federal Reserve governors and Reserve Bank presidents from saying anything about monetary policy or the economic outlook in the days surrounding each policy meeting. The rule shapes the rhythm of global markets, yet almost no one outside the Fed knows what it actually is: not a statute, not a regulation, not a securities rule, but an internally adopted Committee policy—self-written, self-administered, and, as this Note shows, self-unenforced. This Note offers the first sustained legal treatment of the blackout. Using the June 2026 episode in which Vice Chair for Supervision Michelle W. Bowman addressed an invitation-only client dinner hosted by a bank she helps regulate—inside the blackout window and hours after the policy decision, just as a new Chair, Kevin Warsh, was moving to centralize and discipline the Fed's message—as its anchor, the Note traces the blackout from the Fed's long retreat from secrecy, through its 2011 codification and 2017 extension, to the 2021–22 trading scandal that gave the Fed's parallel financial-trading blackout real enforcement teeth that the communications blackout still lacks. It locates the rule's legal authority in the Committee's general self-governance power under section 12A of the Federal Reserve Act, explains why that makes the blackout binding in honor but not in law, and works through the ethics, securities-law, and First Amendment backdrops against which it operates. It then shows, through the Inspector General's investigations—above all the 2024 Bostic report, which found 154 trades across multiple blackout windows and imposed nothing—that the blackout is enforced the way a social norm is enforced: by visibility and shame, not by sanction. Finally, drawing on comparative central-bank practice and two never-enacted codification bills, the Note proposes a calibrated reform: a codified blackout with defined but graduated consequences, a clarified scope that solves the Vice-Chair-for-Supervision problem the Bowman episode exposes, and a deliberate preservation of the Fed's many voices against the temptation—latent in the Warsh program—to convert a narrow silence into a general gag.

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Introduction

For about ten days before and one day after every regularly scheduled meeting of the Federal Open Market Committee, the officials who set the price of money in the United States are supposed to say nothing about it. The convention has a name inside the Federal Reserve—the “blackout period”—and a calendar so reliable that trading desks, wire services, and the regional Reserve Banks themselves publish it in advance.¹ During the window, Federal Reserve Board governors and the twelve Reserve Bank presidents “refrain from expressing their views about macroeconomic developments or monetary policy issues in meetings or conversations with members of the public.”² The silence is total enough that when congressional hearings happen to fall inside the window, Fed witnesses announce that they cannot discuss monetary policy and decline to do so.

The blackout is one of the most consequential rules in American economic governance that almost no member of the public could describe. It is invoked constantly and examined almost never. And in June 2026 it became, briefly, news. As the FOMC approached the first meeting chaired by Kevin Warsh—who had reached the chairmanship as a long-standing critic of what he once called the “cacophony of communications” the modern Fed emits³—Vice Chair for Supervision Michelle W. Bowman spent the evening of the meeting’s final day in a private room with the clients of one of the largest banks she helps regulate. Hours after the Committee announced its decision on June 17, 2026, Bowman attended an invitation-only dinner in New York hosted by Bank of America for an audience of its clients—an appearance first reported days later by the Wall Street Journal and confirmed by other outlets.⁴ The dinner fell squarely inside the blackout, which would not lift until the following night. What made it awkward was not only its timing but its form: a closed-door gathering of market participants, convened by a supervised institution and addressed by a Federal Reserve policymaker, during the very window the blackout exists to keep clear of selective access. Bowman was no ordinary participant—she was the System’s top bank supervisor, and the host was among the banks she supervises—and she was,

besides, the Committee's most prominent dissenting dove.⁵ Whether or not she said a word about interest rates—and the public record does not establish that she discussed monetary policy at all—the venue was the kind the quiet period is meant to foreclose: one in which some market participants sit closer to a policymaker than the rest of the public, in the days when proximity is most valuable.⁶ Nothing followed. There was no rebuke from the Chair that the public could see, no finding by any body, no sanction of any kind—because, as this Note will show, there is no sanction to impose.

That is the puzzle the Bowman episode crystallizes and that this Note sets out to solve. The blackout is treated, inside and outside the Fed, as a hard rule. Markets organize around it; officials honor it scrupulously, often to the point of awkward public silence; the financial press polices it. Yet it is, in legal terms, almost nothing: not a statute, not a regulation promulgated under the Administrative Procedure Act, not a securities rule enforceable by the Securities and Exchange Commission, and not the subject of any private right of action. It is an internal policy that the FOMC wrote for itself, may amend or repeal for itself, and enforces—when it enforces it at all—through the soft instruments of peer pressure, the Chair's moral authority, and the fear of a bad headline. The blackout is, in short, a norm of self-restraint dressed in the vocabulary of law.

This Note is the first sustained legal study of that norm. Four claims organize it. First, the blackout is best understood not as a freestanding rule but as the disciplinary counterpart to the Fed's long twentieth-century journey out of secrecy. The same institution that once refused to announce its own interest-rate decisions had, by the 1990s, committed itself to openness; the blackout is the rule that openness required, the device by which an institution that now speaks constantly imposes windows of deliberate quiet. Its history is a history of successive tightenings, each prompted by a discrete embarrassment.

Second, the blackout's legal authority is real but thin. It rests on the FOMC's general power to organize itself and govern the conduct of its participants under section 12A of the Federal Reserve Act—the same housekeeping authority under which the Committee directs

open-market operations.⁷ That authority is enough to make the blackout internally “binding on all Committee participants,” as the policy says of itself. But it is not enough to make it law in any externally enforceable sense, and the difference—self-regulation versus binding rule—turns out to explain almost everything about how the blackout behaves.

Third, the blackout is essentially unenforced, and the contrast with the Fed’s parallel rule on financial trading proves it. The 2021–22 trading scandal, in which two Reserve Bank presidents resigned over their personal securities transactions, drove the Fed to build a genuine compliance apparatus around officials’ trading: pre-clearance, advance notice, monitoring, and public reporting. That apparatus uses the very same blackout calendar. Yet the Fed left the communications blackout exactly as it found it—an honor-system norm with no monitor, no penalty schedule, and no adjudicator. The clearest proof is the Inspector General’s 2024 report on the Atlanta Fed’s president, which found that trades had been executed on his behalf during numerous blackout windows, called that a violation of the blackout rule, and then did the only thing it could do: refer the matter to the Board and close the file.⁸ No penalty issued, because none exists to issue.

Fourth, the reform question the Bowman episode poses is not whether to silence the Fed but how to calibrate its silence—and the answer should resist the gravitational pull of the moment. The temptation, amplified by a Chair who is skeptical of Fed chatter and has launched a task force to overhaul the Fed’s communications, is to treat the blackout as a beachhead for a broader project of message discipline: fewer voices, a more centralized signal, the Committee speaking as one. This Note resists that. The blackout’s real defect is not that it is too narrow but that it is unenforceable and conceptually muddy—muddy enough that a Vice Chair for Supervision, whose very title contemplates that she will speak publicly about banks during the very weeks she must say nothing about rates, can wander across the line without anyone being able to say precisely where the line was. The cure is calibration: a codified blackout with defined

but proportionate consequences, a scope clear enough to administer, and a studied refusal to convert a legitimate narrow silence into an illegitimate general one.

The Note proceeds in four parts that track the questions a lawyer would ask of any rule—where it came from, what authorizes it, how it is enforced, and what should change. Part I recovers the history of the blackout, from the Fed’s culture of secrecy through the 2011 codification, the 2017 extension, and the 2022 trading-scandal overhaul. Part II locates and dissects its legal authority, explaining why an internally adopted policy is binding in honor but not in law and situating the blackout against the ethics, securities-law, and First Amendment regimes it brushes up against. Part III anatomizes enforcement—the honor system, the Inspector General’s limited reach, the decisive Bostic proof point, the leak-versus-speech distinction that the Lacker affair illustrates, and the de facto policing done by markets and the press. Part IV turns to reform, setting the Fed against comparative central-bank practice, weighing the Warsh inflection, mining two never-enacted codification bills for a usable template, and defending a calibrated package against the powerful accountability case for leaving the Fed’s many voices alone. A short conclusion returns to Bowman.

I. From Secrecy to Silence: A History of the Blackout

The blackout period looks, at first glance, like a restriction on speech. It is more illuminating to see it as a by-product of speech—specifically, of the Federal Reserve’s decision, made gradually and grudgingly over the last third of the twentieth century, to become a talking institution. For most of its history the Fed did not need a rule requiring its officials to be quiet around meetings, because the Fed was quiet all the time. The blackout became necessary only once the Fed had committed itself to openness; it is the membrane that an otherwise porous, voluble institution grew to protect the integrity of its deliberations and the clarity of its decisions. This Part tells that story in four movements: the long secrecy, the codification of 2011, the extension of 2017, and the trading-scandal reckoning of 2021–22.

A. The Long Secrecy

It is difficult, from the vantage of a Fed that now holds press conferences, publishes economic projections, and releases verbatim transcripts, to recall how opaque the institution once was. “For much of its 100-year history,” a sitting governor conceded in 2014, “the Fed was remarkably opaque.”⁹ Through the middle of the century the Committee kept detailed “Memoranda of Discussion” of its meetings but released them only after a lag of years; it announced its policy decisions to the public not at all, leaving market participants to infer the stance of policy from the behavior of the open market desk. Secrecy was not an oversight but a philosophy—the “monetary mystique” that held that a central bank governed best by saying least.

The law began to pry the institution open. After the Freedom of Information Act took effect, a Georgetown law student’s request for the Committee’s policy directives produced litigation that reached the Supreme Court, which in 1979 held that the FOMC could delay—but the case confirmed that it could not simply ignore—disclosure obligations.¹⁰ The decisive turn came in the 1990s. In October 1993, under sustained pressure from House Banking Committee Chairman Henry Gonzalez, Chairman Alan Greenspan disclosed that the Committee had for

years been keeping lightly edited transcripts of its meetings; the Committee soon agreed to release them on a five-year lag, and a congressional staff report memorably branded the practice “The Federal Reserve’s 17-Year Secret.”¹¹ Then, on February 4, 1994, the Committee did something it had never done before: it announced a change in the stance of monetary policy in real time, explaining that the Chairman wished “to avoid any misunderstanding” of the Committee’s purposes.¹² The age of the talking Fed had begun.

Openness, once embraced, proliferated. The Committee added an explicit statement after each meeting, then the vote tally, then a Summary of Economic Projections, then—in April 2011—regular press conferences by the Chair, and a published longer-run inflation goal of two percent.¹³ But proliferation created its own hazard. An institution whose nineteen policymakers now spoke frequently—in speeches, interviews, and testimony—needed some way to ensure that the cacophony did not drown out, or front-run, the Committee’s collective decision. If officials could say anything at any time, they could say things in the days before a meeting that would move markets, prejudice the outcome, or selectively reveal where the Committee was heading. The blackout is the answer the Fed devised: a recurring window of enforced quiet, carved out of an otherwise continuous stream of talk.

By the early 2000s an informal blackout convention was simply understood. The Committee’s own internal history describes a settled “rule and understanding” that participants would avoid public discussion of the economy or policy “from a week before the meeting through Friday in the week of the meeting.”¹⁴ What did not yet exist was a written policy that defined the window, named the prohibition, and bound every participant alike. That came in 2011.

B. Codification: The 2011 External Communications Policies

In June 2011—two months after the first press conference, as the Fed’s communications footprint was expanding fastest—the Committee formalized the convention. A subcommittee on communication chaired by then-Governor Janet Yellen proposed two parallel policies, one for

“Committee participants” and one for Federal Reserve System staff, and the Committee adopted both by unanimous vote at its June 21–22 meeting.¹⁵ The participants’ policy is the operative instrument for the officials this Note is principally concerned with. It opens with a statement of purpose—to “facilitate the effectiveness of the Committee’s policy deliberations and the clarity of its communications”—and then states the blackout in a single, much-quoted sentence and a prohibition that follows it.

The blackout period will begin at 12:00 a.m. Eastern Time the second Saturday before a meeting and end at 11:59 p.m. Eastern Time the day after a meeting. . . . During each blackout period, participants refrain from expressing their views about macroeconomic developments or monetary policy issues in meetings or conversations with members of the public.

Three features of the codified rule deserve emphasis, because each recurs throughout this Note. The first is the breadth of who is bound. The policy defines “Committee participants” to include not only the seven Board governors and the five voting Reserve Bank presidents but all twelve presidents, voting and non-voting alike.¹⁶ The second is the breadth of what is forbidden: not merely the disclosure of confidential information (which a separate regime governs) but the mere “express[ion]” of “views” about “macroeconomic developments or monetary policy issues.” The blackout silences opinion, not just secrets. The third is the source of its force. The policy declares itself “binding on all Committee participants,”¹⁷ and assigns responsibility for compliance to the Committee itself: “The Committee itself maintains responsibility for ensuring that all Committee participants . . . abide by these principles.” That is a telling formulation. The enforcer named in the rule is not a court, an agency, or an inspector—it is the rule-maker.

The companion staff policy is broader in one respect and narrower in another. It reaches a larger universe of people—any staff member with knowledge of restricted “Class I” information related to the meeting—but it ties the blackout to the handling of such information rather than to status as a policymaker.¹⁸ Together the two policies established, for the first time in writing, the rule that the Bowman episode would test fifteen years later.

C. Extension: The 2017 Move to the Second Saturday

As first written, the blackout was shorter than it is today. The original window opened on the Tuesday of the week preceding a meeting; a 2012 amendment to the staff policy reframed the start as midnight seven days before the meeting.¹⁹ The window assumed its present shape at the January 31–February 1, 2017 meeting, where the Committee unanimously approved moving the start back to the second Saturday before a meeting—adding several days to the front end of the quiet period.²⁰ The stated rationale was alignment, not secrecy for its own sake. Governor Stanley Fischer, previewing the change, explained that it would “align the start of the blackout period more closely with the start of our serious discussion of the monetary policy alternatives”—closing the gap between the day participants received the draft policy statements and the day the old blackout began.²¹ The 2017 extension is worth pausing on because it cuts against a reflex one might bring to the reform debate in Part IV: the instinct that a longer blackout is a more restrictive, and therefore more suspect, one. The Committee lengthened the window precisely to make its eventual communications cleaner, not to suppress dissent. Length and discipline are not the same axis.

D. Reckoning: The 2021–22 Trading Scandal and the Two Blackouts

The episode that did the most to reshape the ethics architecture around the blackout had nothing to do with speech. In September 2021, press reports revealed that two Reserve Bank presidents had engaged in striking personal securities transactions during 2020, even as the Fed was intervening massively in the very markets in which they traded. Dallas Fed President Robert Kaplan had traded millions of dollars in individual stocks; Boston Fed President Eric Rosengren had traded in real-estate investment trusts while speaking publicly about risks in commercial real estate.²² Within weeks both men had resigned; Chairman Powell ordered a “fresh and comprehensive” review of the Fed’s ethics rules; and questions soon spread to Board members, including Vice Chair Richard Clarida, whose 2020 fund transactions drew scrutiny, and even to the Chairman’s own family trust.²³ The Inspector General would ultimately clear the Board officials of legal violations, finding (among other things) that five trades had been executed by a

financial advisor on behalf of a Powell family trust during a December 2019 blackout but that the Chairman had no contemporaneous knowledge of them and did not violate the trading-blackout rule.²⁴ The scandal's lasting product was structural.

In October 2021 the Board announced sweeping new restrictions, and in February 2022 the FOMC formally adopted a comprehensive Investment and Trading Policy. The new regime barred senior officials and certain staff from holding individual securities, required diversified vehicles, imposed a minimum holding period, and—most important for present purposes—built a genuine compliance machine: forty-five days' non-retractable advance notice before any covered transaction, pre-clearance by the Board's ethics official, and monitoring against brokerage statements.²⁵ For this Note the decisive detail is the calendar. The new trading prohibition was built around the same blackout window that governs speech, and the Committee said so explicitly, even extending the trading blackout by a day so that the two would coincide.²⁶ The Fed thus chose, in 2022, to wrap one of its two blackouts—the trading blackout—in pre-clearance, monitoring, advance notice, and public reporting, while leaving the other blackout—the communications blackout that runs on the identical calendar—exactly as it had been in 2011: an honor-system norm with no compliance apparatus at all. That asymmetry is the hinge of Part III.

Figure 1 maps the arc just described, distinguishing the milestones of openness and codification (in slate) from the scandal-driven episodes (in clay) that periodically tightened the surrounding ethics regime.



Figure 1. From secrecy to silence: milestones in the evolution of the FOMC blackout and its surrounding rules, 1994–2026.

II. The Legal Authority for the Blackout

If the blackout is so consequential, what gives the Fed the power to impose it—and what kind of power is it? The answer, developed in this Part, is that the blackout rests on the FOMC’s general authority to organize itself and govern the conduct of its participants, an authority capacious enough to support an internal policy but too general to make that policy law in the sense that a statute or a regulation is law. The blackout is self-regulation: adopted by the regulated, binding on them by their own assent, and revocable by the same body that wrote it. Understanding precisely what the blackout is—and what it is not—dissolves much of the confusion that surrounds episodes like Bowman’s, where observers reach instinctively for the language of “violation” and “rules” without noticing that no externally enforceable rule is in play.

A. The Statutory Foundation and the FOMC’s Self-Governance

The Federal Open Market Committee is a creature of statute, established by the Banking Acts of 1933 and 1935 and codified at section 12A of the Federal Reserve Act. The operative provision today is 12 U.S.C. § 263, which constitutes the Committee, fixes its membership, and directs it to govern the open-market operations of the Reserve Banks.²⁷ A drafting note is necessary here, because the point is easy to get wrong and recurs in the literature. The FOMC’s organizational provisions live at § 263; the sections sometimes cited as “12 U.S.C. §§ 271–272” are not live FOMC provisions of the *United States Code* at all. The “271” and “272” that Fed lawyers reach for are parts of Title 12 of the *Code of Federal Regulations*—the Committee’s codified rules—not sections of the statute.²⁸ The distinction matters because it locates the blackout correctly: it is authorized by the Committee’s statutory self-governance power, but it is not itself any of the Committee’s *codified* rules. It lives a rung below them.

Two structural facts about the Committee’s membership give the blackout’s uniform reach its peculiar legal texture. Board governors are officers of the United States: nominated by the President, confirmed by the Senate, and bound by the full apparatus of federal ethics law. Reserve Bank presidents are not. They are selected by the boards of directors of their regional

Reserve Banks (subject to Board approval), and the Reserve Banks are federally chartered corporations rather than government departments. The Fed itself has acknowledged the consequence in administering its trading rules: the Office of Government Ethics “could not approve qualified trusts for Reserve Bank employees, because they are not executive branch employees.”²⁹ The blackout policy papers over this divide by a definitional fiat—everyone in the room is a “Committee participant,” and all are bound alike. That works as a matter of internal policy precisely because the blackout is internal policy: the Committee can bind a Reserve Bank president to its own house rule by his acceptance of his position, in a way that a statute reaching “officers of the United States” might not automatically capture him. The uniformity that the policy achieves so easily would be much harder to legislate, a point that returns in Part IV.

B. The Instruments That Impose the Blackout

The blackout is created and surrounded by a small family of FOMC-adopted instruments, none of which is a statute or a notice-and-comment regulation. The two External Communications policies impose the speech blackout directly. The Program for Security of FOMC Information defines the categories of confidential information (the “Class I” designation that triggers the staff blackout) and forbids their release except by the Chair or the secretary.³⁰ The FOMC’s Rules of Organization, in turn, describe the Committee’s structure and—revealingly—root the Committee’s rule-issuing in the Administrative Procedure Act’s *publication* command rather than in any substantive grant of rulemaking power.³¹ And the 2022 Investment and Trading Policy imposes the parallel trading blackout, using the identical window. Table 1 arrays these instruments, their legal character, and their enforceability.

Instrument	Form	Legal status	What it does
FOMC Policy on External Communications of Committee Participants (2011)	Committee policy	Internal self-regulation; not in U.S.C. or C.F.R.; revocable by the Committee	Imposes the speech blackout on governors and all 12 presidents
FOMC Policy on External Communications of Federal Reserve System Staff (2011)	Committee policy	Internal self-regulation	Imposes the speech blackout on staff with Class I knowledge

FOMC Investment and Trading Policy (2022)	Committee policy	Internal self-regulation, but monitored and pre-cleared	Imposes the trading blackout on the same calendar; adds pre-clearance, notice, reporting
Program for Security of FOMC Information	Committee policy	Internal self-regulation	Classifies confidential information; governs leaks
12 C.F.R. pts. 271, 272, 281	Codified rules (APA-published)	Binding agency rules	Availability of information; procedure; Sunshine Act policy
5 C.F.R. pt. 6801	Legislative regulation	Externally binding ethics law (governors/Board staff)	Supplemental ethics standards; prohibited financial interests

Table 1. The blackout and its legal neighbors: the speech blackout is internal Committee policy, several rungs below the Fed's codified rules and the binding ethics regulations.

C. Self-Regulation, Not Law: Why the Distinction Governs

Place the blackout against its neighbors in Table 1 and its character comes into focus. It is not statutory: it appears nowhere in the *United States Code*. It is not a legislative rule: it never went through notice-and-comment, carries no Federal Register promulgation, and is not codified in the *Code of Federal Regulations*—unlike the FOMC's own Parts 271, 272, and 281, and unlike the Board's supplemental ethics regulation at 5 C.F.R. Part 6801, which *was* promulgated as a legislative rule and *is* externally enforceable.³² The blackout is “binding” only in the sense the policy itself supplies—binding on participants by their assent, enforced by the Committee on itself. Three consequences follow, and together they explain the Bowman episode's anticlimax.

The consequences are these. First, there is no external remedy. Because the blackout is neither a statute nor a regulation nor a securities rule, no market participant injured by an official's ill-timed remark can sue under it, and no agency outside the Fed can enforce it. Second, breach of the blackout is not, in itself, a violation of any other law. Speaking one's policy views during the window is not insider trading, not a securities-fraud offense, and not a breach of the ethics regulations; it is, at most, a departure from an internal norm. Third, the rule is revocable and amendable at will by the very body it governs—the Committee has reaffirmed it as recently as January 2026 and could narrow, widen, or abolish it tomorrow without rulemaking.³³ A norm that the regulated may rewrite at will, that no outsider may enforce, and whose breach triggers no

independent liability is a norm, not a law. The remainder of this Note takes that characterization seriously and asks what follows from it.

D. The Ethics and Securities-Law Backdrop

The blackout does not float free of law; it sits atop a dense substratum of ethics and securities rules whose existence explains why the Fed thought a prophylactic silence worthwhile in the first place. Board governors and staff are subject to the Office of Government Ethics' Standards of Ethical Conduct and the Board's supplemental regulation, to the criminal conflict-of-interest statute, and to the periodic transaction-reporting obligations that the STOCK Act imposes on senior federal officials.³⁴ The deeper backdrop is the law of insider trading. A government official who learns market-moving, nonpublic information in the course of official duties holds it subject to a duty of trust and confidentiality and may not exploit it for private gain; the misappropriation theory the Supreme Court endorsed in *O'Hagan* supplies the doctrinal frame.³⁵ The point of locating the blackout against this backdrop is to see what the blackout is *for*. It is prophylaxis. The securities and ethics laws punish the misuse of confidential information after the fact, case by case, with all the proof problems that entails. The blackout tries to prevent the situation from ever arising by keeping officials quiet in the days when their words would be most market-moving and most likely to convey, deliberately or inadvertently, where the Committee is heading. It is a belt-and-suspenders device—an internal rule that operates upstream of the external law.

The closest legal analogue is one that, tellingly, does not bind the Fed at all. Regulation Fair Disclosure forbids public companies from selectively disclosing material nonpublic information to favored market professionals.³⁶ The FOMC is not an “issuer,” so Regulation FD does not reach it. But the blackout is the Fed's functional analogue to Regulation FD: an anti-selective-disclosure rule for the institution whose information moves markets more than any issuer's. The analogy is illuminating and the disanalogy is the whole point—where Regulation FD is a binding rule the SEC enforces, the blackout is a voluntary norm the Fed enforces on

itself, if at all. The analogy also locates precisely what was troubling about the dinner with which this Note began. Regulation FD exists to stop issuers from giving favored analysts and investors a private audience denied to everyone else; the spectacle of a Federal Reserve policymaker addressing a single bank's invited clients, behind closed doors, during the quiet window, is the central-banking image of exactly the evil Regulation FD targets—whether or not any material nonpublic information actually changed hands.

E. The First Amendment Question Nobody Has Asked

A self-imposed restriction on the speech of government officials invites a constitutional question that, remarkably, no court has addressed and almost no scholar has framed: does the blackout raise First Amendment concerns? The answer is mostly no, but the analysis is more interesting than the answer, and it carries a wrinkle that becomes the Note's reform fulcrum.

For Board governors, the doctrine is unfavorable to any free-speech objection. Speech by a public employee undertaken pursuant to official duties receives no First Amendment protection at all under *Garcetti v. Ceballos*, and even an employee's protected speech is balanced against the government's interest as employer under *Pickering* and *Connick*.³⁷ A governor speaking about the Committee's policy is speaking in her official capacity about the very thing she is paid to decide; that is the paradigm of unprotected official speech. The blackout, moreover, is not a prior restraint imposed by an outside sovereign on a private citizen—it is a house rule the speakers' own institution adopted and that they accepted as a condition of their offices. There is no external party with standing to challenge it and no live constitutional "case," which is why the question has never reached a court.

The wrinkle is the Reserve Bank presidents. They are bound by the same blackout, yet they are not Presidentially appointed officers of the United States; they are executives of regional Reserve Banks. The *Garcetti* logic that so easily disposes of a governor's objection fits a Reserve Bank president less comfortably, and a *federally codified* speech restriction reaching quasi-private actors—the kind of statutory blackout Congress has periodically proposed—would

present a cleaner First Amendment question than the Fed's internal house rule ever could.³⁸ This is not a reason to think the present blackout unconstitutional—it is not. It is a reason to be careful about how one would codify it, and a caution against assuming that converting a voluntary norm into a statutory command is cost-free. The constitutional ease of the current blackout is a function of exactly the feature that makes it unenforceable: it is the speakers' own rule. Part IV keeps that trade-off in view.

III. How the Blackout Is Enforced—Which Is to Say, Barely

A rule's real content is revealed by what happens when someone breaks it. By that test the communications blackout is among the softest rules in American public life. There is no monitor, no docket, no penalty schedule, and no adjudicator; there is only the Committee policing itself, the Inspector General recommending where it cannot compel, and the market and the press supplying, through scrutiny and shame, the discipline that law does not. This Part establishes that architecture, proves it with the Inspector General's own investigations, distinguishes the harder-edged law that governs leaks, and returns to Bowman to show why her episode ended where it did—nowhere.

A. The Honor System

Recall the enforcement clause the 2011 policy wrote for itself: “The Committee itself maintains responsibility for ensuring that all Committee participants . . . abide by these principles.”³⁹ The instruments of that responsibility are entirely soft. The Chair sets the tone and enjoys unique authority over the Committee's communications, but the Chair commands no power to discipline a fellow governor (each is independently appointed and removable only for cause) or to fire a Reserve Bank president (whom the regional board selects). The FOMC secretary administers the calendar; the Board's ethics officials advise. None of them can impose a consequence for an ill-timed speech. The policy even ties itself, by cross-reference, to a “Voluntary Guide to Conduct for Senior Officials”—a phrase that captures the regime's character with unintended candor.⁴⁰ The blackout, in operation, is enforced the way table manners are enforced: by the expectation that civilized participants will observe them, and by the awkwardness that attends those who do not.

B. The Inspector General's Limited Reach

The body most often imagined to be the Fed's internal enforcer—the Office of Inspector General—turns out, on inspection, to illustrate the enforcement gap rather than fill it. The OIG

can investigate, find facts, and recommend; it cannot discipline a Reserve Bank president or a Board member, and it cannot manufacture a penalty the underlying rules do not provide. Its handling of the 2021 trading matters shows the limits precisely. In the Kaplan and Rosengren investigations the OIG closed its files with findings that the conduct, however unflattering, did not violate “laws, rules, regulations, or policies,” reaching at most an “appearance of a conflict of interest”—and by the time it reported, both men had long since resigned of their own accord.⁴¹ As to the Board officials, the OIG consulted government experts on the insider-trading statutes and “determined that there was insufficient evidence to refer this matter for further law enforcement review.”⁴² The OIG, in other words, did what an inspector can do—investigate and recommend—and could not do what an enforcer would do, because the rules supplied no enforcement to administer.

C. The Proof Point: 154 Trades, No Penalty

The single most revealing document in the entire enforcement story concerns not speech but trading—and precisely for that reason it proves the point about both. In September 2024 the Inspector General reported on the trading of Atlanta Fed President Raphael Bostic. The findings were not ambiguous. The OIG concluded that securities transactions had been executed on Bostic’s behalf during multiple blackout periods—154 trades between March 2018 and March 2023—and that this “violated . . . the FOMC blackout rule,” along with the policy’s disclosure, prohibited-holdings, and pre-clearance requirements.⁴³ Here, then, was a clear, documented, repeated violation of the blackout window—by a sitting Reserve Bank president, found as fact by the Fed’s own Inspector General, in the very domain (trading) where the Fed had supposedly built teeth after 2021. And the consequence?

The consequence was a referral and a closed file. The OIG announced that it was “referring the matter to the Board for any further action as they deem appropriate,” and the Board imposed no penalty that the public has ever been shown.⁴⁴ If a documented violation of the *monitored* trading blackout, by a named official, produces no public sanction, the unmonitored

communications blackout—where there is not even a brokerage statement to catch the breach—plainly produces less. The Bostic report is the empirical heart of this Note’s third claim: the blackout, on both its trading and its communications side, is a rule whose breach the Fed will find but will not punish.

Congress noticed. The chair of the Senate Banking Committee, reacting to the trading-rules regime, put the diagnosis bluntly: “Without an enforcement mechanism and penalties for Federal Reserve officials who violate the Board’s Investment and Trading Policy, these changes are ineffectual.”⁴⁵ The Inspector General agreed where it could, recommending that the Board “[f]ormalize a process for determining and enforcing consequences” for trading-policy violators—an implicit concession that, as of the evaluation, no such process existed.⁴⁶ If even the trading rules—the part of the regime the Fed deliberately hardened—lack a consequences process, the communications blackout’s want of one is unsurprising. It never had one to lose.

D. Leak Versus Speech: The Lacker Line

One category of blackout-adjacent conduct does carry real legal risk, and distinguishing it sharpens the argument. There is a difference between *speaking* during the blackout—offering one’s policy views when one should be silent—and *leaking* confidential FOMC information, whenever it occurs. The first is, at most, a breach of an internal norm. The second can implicate the criminal law. The Fed’s own policies draw the line, governing confidential information far more strictly than mere opinion.⁴⁷ The episode that illustrates the leak category is the Lacker affair. In October 2012, Richmond Fed President Jeffrey Lacker spoke with an analyst at a research firm; the next day the firm circulated to clients nonpublic detail about the Committee’s deliberations, a day before the Fed’s own minutes appeared.⁴⁸ Lacker did not disclose his role at the time; an internal review proved inconclusive; and only years later, after a federal criminal investigation involving the FBI, the U.S. Attorney’s Office, and the Inspector General, did he acknowledge the conversation and resign immediately.⁴⁹ The instructive point is the asymmetry of outcomes. Leaking confidential information is the conduct most likely to trigger the

machinery of the criminal law—and even there, the marquee case produced no charges, only resignation and reputational ruin. If the law’s hardest edge stops at resignation for a *leak*, it is no surprise that merely *speaking* during the blackout, which breaks no criminal law at all, produces nothing.

E. Enforcement by Market and Press

If neither the Committee nor the Inspector General nor the criminal law meaningfully enforces the communications blackout, who does? The honest answer is: the audience. The blackout is enforced the way social norms are enforced—by visibility and the threat of shame. Trading desks and wire services publish the calendar and flag each window; an official who broke the silence to say something market-moving would be instantly conspicuous and instantly criticized.⁵⁰ The trading scandals are the proof that this external mechanism, not any internal tripwire, is what actually disciplines Fed officials. It was journalism—not a compliance system—that surfaced the Kaplan and Rosengren trades, forced the resignations, and triggered both the Inspector General’s investigations and the 2022 overhaul. Congressional scrutiny then substituted, imperfectly, for the missing penalty regime. The same dynamic polices speech: the sanction for an ill-timed remark is the bad story it generates, and the institutional embarrassment that follows. That is a real constraint—officials plainly feel it—but it is reputational, not legal, and it operates unevenly, bearing hardest on the officials least able to absorb the criticism and least on those whose stature insulates them.

F. The Bowman Episode, Explained

Return now to where the Note began. When word spread that Vice Chair Bowman had addressed a private Bank of America client dinner during the June 2026 blackout, observers reached for the language of rules and violations and asked what would happen to her. The answer this Part supplies is: as a matter of law and formal process, nothing—and not because the episode was trivial, but because the blackout is built to produce nothing. There was no monitor to flag the appearance, no penalty schedule to consult, no adjudicator to convene, and no Chair-held power

to discipline a fellow governor. What discipline existed was exactly the reputational kind described above: a flurry of unflattering coverage noting that a Fed policymaker had spent a blackout evening with a supervised bank's clients, and whatever quiet awkwardness attended that within the Committee. The episode is a near-perfect specimen because it implicates the two values the blackout most directly serves—keeping the Committee's message clean around a decision, and denying any market participant privileged proximity—and yet produced no formal response whatever.

The episode also exposes a conceptual softness that the reform Part takes up, and that Bowman's particular office throws into relief. She did not hold an ordinary seat. As Vice Chair for Supervision, she carries a portfolio—bank regulation and supervision—about which she is expected, even obligated, to speak publicly and often, including during blackout windows and including to bankers; a dinner with a large bank's clients is, on its face, the kind of engagement her supervisory role contemplates. The blackout forbids views on “macroeconomic developments or monetary policy issues” while saying nothing about supervisory policy, and the boundary between the two is not always crisp: a discussion of bank capital can shade into a view about credit conditions, which can shade into a view about the economy, which is precisely what the blackout forecloses. The defense of the dinner and the indictment of it occupy the same ground—she may well have confined herself to supervision, but the blackout's anxieties are not so easily quarantined when the speaker is also a monetary-policy voter and the room is full of market participants. Indeed, only months earlier Bowman had modeled the careful version of the line, telling a congressional committee that because the Fed was “in the pre-[FOMC] meeting blackout period,” she “w[ould] not be able to discuss monetary policy” even as she delivered extensive supervisory testimony.⁵¹ That a Vice Chair for Supervision can honor the line in December and blur it in June is not a personal failing; it is a design flaw. A rule administered entirely by self-restraint, drawn around a subject-matter boundary that the institution's own role definitions cut across, will be honored unevenly even by officials acting in good faith. Table 2

summarizes the asymmetry between the two blackouts that this Part has developed, and frames the reform agenda of Part IV.

Dimension	Communications blackout	Trading blackout
Calendar	2d Saturday before through day after meeting	Identical (aligned by design in 2022)
Advance notice / pre-clearance	None	45-day non-retractable notice; pre-clearance
Monitoring	None	Brokerage-statement monitoring
Public reporting	None	Periodic transaction reports
Consequences process	None	None codified (OIG urged the Board to create one)
Proven breach, actual penalty	No public instance of sanction	Bostic: 154 trades found, no public penalty

Table 2. Two blackouts on one calendar: the 2022 reforms built a compliance apparatus around trading and left the communications blackout an honor-system norm.

IV. Policy Solutions Going Forward

What, then, should be done? The Bowman episode invites two opposite overreactions. One is to shrug: the blackout works well enough as a norm, officials mostly honor it, and the rare lapse harms no one badly enough to warrant machinery. The other is to seize the moment for a sweeping project of message discipline—to treat the blackout as the thin end of a wedge toward a quieter, more centralized Fed that speaks with one voice. This Part rejects both. It argues that the blackout’s defects are real but narrow—it is unenforceable and conceptually muddy—and that the right response is calibration: codify the rule with defined but proportionate consequences, clarify its scope so that officials like the Vice Chair for Supervision know where the line runs, and preserve, against the temptation of the moment, the Fed’s many voices. The Part builds to that conclusion through comparative practice, the Warsh inflection, a usable codification template, a reform menu, and the powerful accountability case on the other side.

A. The Comparative Baseline

Set against its peers, the Fed’s blackout is an outlier on one axis and conventional on another. On length, the Fed sits at the restrictive end. Its roughly ten-day window is longer than the European Central Bank’s seven-day “quiet period,” longer than the Riksbank’s seven days, comparable to or longer than the Bank of Canada’s seven-to-eight days, and far longer than the Bank of Japan’s window of a few business days; the Bank of England’s pre-announcement purdah is shorter still.⁵² On enforcement, by contrast, the Fed is utterly conventional: like every peer surveyed, it publishes no sanction schedule and relies on internal, normative compliance. The comparative lesson is therefore double-edged. The Fed is not an outlier in *under-enforcing* its quiet period—no one enforces theirs with penalties either—so a reformer cannot simply point abroad for a model of teeth. But the Fed *is* an outlier in length, which undercuts any argument that its silence is dangerously thin and weakens the case for extending the blackout further. Figure 2 displays the comparison.

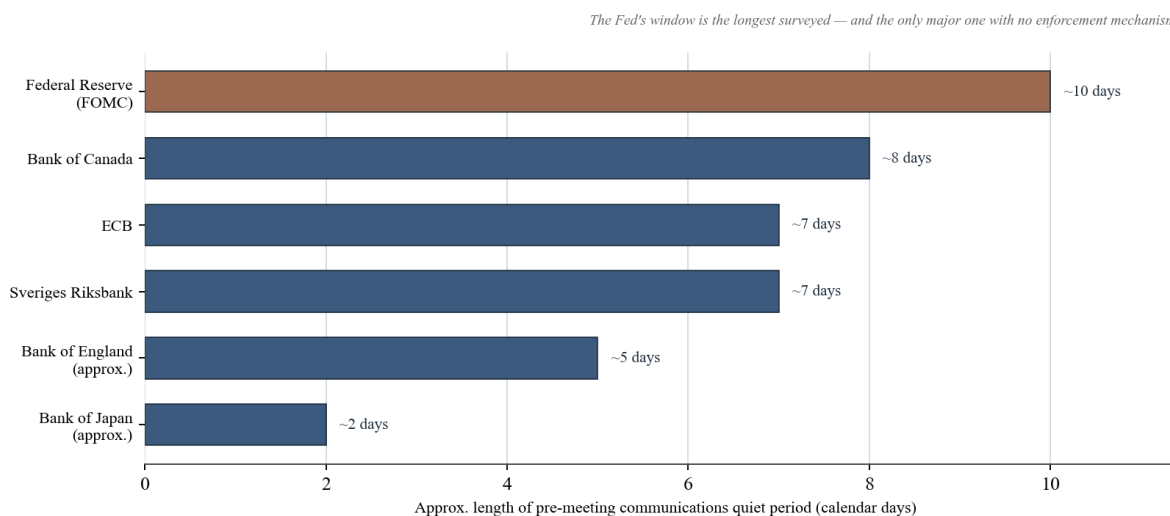


Figure 2. Approximate length of the pre-meeting communications quiet period at major central banks. The Fed's window is the longest surveyed; none of the surveyed regimes attaches a formal penalty to breach.

The comparison reframes the reform question. If the Fed already has the longest quiet period among major central banks and no central bank enforces its quiet period with sanctions, then the interesting margin for reform is neither lengthening (the Fed is already long) nor importing a foreign enforcement model (there is none). It is whether the Fed should become the first major central bank to give its quiet period real administrability—and if so, how to do that without overreaching.

B. The Warsh Inflection

Any reform discussion in 2026 must reckon with the new Chair. Kevin Warsh arrived at the chairmanship as the Fed's most prominent internal critic of its own communications. For a decade he had argued that the modern Fed says too much—that forward guidance “licenses a cacophony of communications in the name of transparency,” that the proliferation of official voices produces noise rather than signal, and that the central bank should “find new comfort in working without applause.”⁵³ He carried that program into office at once. At his first meeting, in June 2026, he shortened the policy statement dramatically, dropped the Committee's forward-guidance language, declined to submit his own interest-rate projection to the Summary of Economic Projections, and announced task forces to overhaul major Fed functions—

communications first among them.⁵⁴ A Chair who believes the Fed should speak less, more centrally, and with fewer freelancing voices is naturally drawn to the blackout as an instrument: it is, after all, the one rule the Fed already has for imposing message discipline on its many speakers, and the one lever a Chair can pull against presidents he cannot command.

Therein lies both an opportunity and a danger. The opportunity is that a reform-minded Chair, already rethinking the Fed's communications framework, could give the blackout the administrability it lacks—folding it into a coherent, written communications policy with a defined scope and a graduated consequences process. The danger is that the same impulse, pressed too far, converts a narrow and defensible silence into a broad and corrosive one. The blackout exists to protect the integrity of a *decision* during the *days* around a meeting. A program that used it as a model for silencing dissent generally, or for funneling all Fed communication through the Chair, would borrow the blackout's legitimacy for a project the blackout was never meant to serve. The reform this Note defends takes the opportunity and refuses the danger.

C. The Codification Option and Its Ready-Made Template

The threshold reform question is whether to codify the blackout at all—to lift it from internal policy into binding law. The case for codification follows directly from Parts II and III: a rule that the regulated may rewrite at will, that no outsider can enforce, and whose breach triggers nothing is a rule in name only, and the values the blackout serves—orderly deliberation, market fairness, the integrity of the Committee's decisions—are public values that arguably deserve more than the protection of an honor system. The case against is the theme of Part II.E and Part IV.E: codification forfeits the constitutional and prudential comfort of a consensual, internally administered norm, and risks freezing into statute a line that the Committee has sensibly kept flexible.

What makes the question tractable is that the drafting has, in effect, already been done. Twice—in the FORM Act of 2015, which passed the House, and in the Federal Reserve Blackout Improvement Act of 2018—Congress has drafted a statutory blackout by amending section 12A

of the Federal Reserve Act.⁵⁵ Those bills are a gift to the reformer, because they reveal the drafting choices a statutory blackout must make—and reveal, too, the one choice they conspicuously declined. They define the window. They bind members and staff. And they make two carve-outs that any sensible codification would keep: an explicit exception for the Chair, and an explicit exception for supervisory and regulatory communications.⁵⁶ The supervisory carve-out is striking in retrospect: it is exactly the boundary that the Bowman episode made vivid—the line between the monetary-policy speech the blackout forecloses and the supervisory speech a Vice Chair for Supervision must continue to make. The bills saw the problem and addressed it. What they did not do is supply any penalty for violating the statutory blackout they created. They would have made the blackout law without making it enforceable—codification without consequences. That omission is the space this Note’s recommendation occupies.

D. A Reform Menu

Within the codification frame, six design questions structure the choice. This section works through them, favoring modest, administrable answers over either complacency or overreach.

1. Codify with defined but graduated consequences.

The central reform is to give the blackout the one thing it has always lacked: a consequence for its breach, defined in advance and proportionate to the conduct. The model is ready to hand in the Fed’s own trading rules, which already pair the identical blackout calendar with pre-clearance, monitoring, and reporting, and which the Inspector General has urged the Board to complete with a formal “process for determining and enforcing consequences.”⁵⁷ Consequences need not mean punishment in any dramatic sense. For a first or inadvertent lapse, a documented private counseling would suffice; for repeated or flagrant breaches, a public finding by a designated official would supply the reputational consequence that the regime now leaves to the accident of press attention. The point is not severity but certainty: a known process, applied evenly, that does not depend on whether a reporter happens to notice. Calibrated this

way, a consequences process answers Senator Brown's complaint without converting the Fed into a star chamber.

2. Clarify the scope—the Vice-Chair-for-Supervision problem.

The Bowman episode's deeper lesson is about scope, not sanction. The blackout forbids views on "macroeconomic developments or monetary policy issues" but says nothing about where those end and supervisory, regulatory, or operational topics begin. For most participants the ambiguity is manageable; for a Vice Chair for Supervision, whose defining duty is to speak about banking policy, it is structural. A codified blackout should do what the lapsed bills gestured toward and define the boundary explicitly: a clear safe harbor for supervisory and regulatory communications, paired with guidance on the hard cases where supervisory commentary touches the macroeconomy (credit conditions, financial stability, the economic outlook for banks). Clarity here protects both the institution and the official, who today must navigate an unmarked line in real time and at her own peril.

Scope, properly understood, is not only a question of subject matter but of venue and audience—and here the Bank of America dinner exposes a gap the existing policy does not address at all. The blackout speaks of "conversations with members of the public," language that fits a speech or an interview but maps awkwardly onto a closed-door gathering convened by a supervised institution for a select group of its clients. Such a setting raises the blackout's core anti-selective-disclosure concern in its sharpest form, yet a careful official could read the rule to permit it so long as she avoids monetary-policy "views." A codified blackout should reach the venue as well as the verb: it should counsel against, or at least require disclosure of, appearances by FOMC participants at private, invitation-only events hosted by market participants during the window, whatever the announced topic. The point is not to bar a supervisor from speaking to bankers but to recognize that, during the quiet period, the room can matter as much as the remarks.

3. Address congressional testimony in the window.

Testimony that falls inside the blackout is currently handled by an awkward combination of scheduling and self-restraint: the major semiannual appearances are set outside the window, and when other hearings land inside it, officials simply decline to discuss monetary policy, as Bowman did in December 2025.⁵⁸ That practice is sensible and should be preserved, but it deserves to be written down rather than left to custom, so that a member of Congress cannot fairly accuse a witness of stonewalling for honoring a rule that the rule itself does not visibly authorize her to honor.

4. Governors and presidents: keep the uniform reach.

A codified blackout should preserve the present policy's uniform reach across governors and all twelve presidents, notwithstanding their different legal status. The values the blackout serves do not vary with the speaker's appointment mechanism; a market-moving remark from a non-voting president can do as much damage as one from a governor. The complication, flagged in Part II.E, is that a *statutory* command reaching Reserve Bank presidents—who are not officers of the United States—presents a cleaner First Amendment question than the present internal rule. The answer is not to exempt the presidents but to draft with care: a narrowly tailored, content-limited restriction on official speech about a specific decision during a specific window, justified by the government's substantial interest in orderly policymaking, is comfortably within constitutional bounds even as applied to quasi-private officials. Drafters should make that tailoring explicit rather than assume it.

5. The Chair exception: keep it, but bound it.

Both codification bills exempted the Chair, and the instinct is sound: the Chair must sometimes speak for the Committee, including around meetings, and the post-meeting press conference is itself a deliberate communication that no blackout should foreclose. But an unbounded Chair exception sits uneasily beside a Chair, like the current one, who is openly inclined to centralize the Fed's message. A defensible exception should authorize the Chair to communicate the Committee's collective decisions and rationale—not to license the Chair alone

to shape expectations during a window in which every other participant is silenced. The difference is between the Chair as the Committee's voice and the Chair as its only voice; the blackout should enable the former without entrenching the latter.

6. Length: resist the reflex to extend.

Finally, the comparative evidence counsels against lengthening. The Fed's window is already the longest among major central banks, and the 2017 extension pushed it there for the sound institutional reason of aligning silence with the onset of deliberation. There is no comparative or functional case for going further, and a real cost in doing so: every additional day of enforced silence is a day in which the public hears less from the officials who serve it. If anything, a reformer who adds a consequences process and a clarified scope buys the credibility to leave the window where it is, or even to ask whether it might be trimmed toward the seven-day international norm.

E. The Accountability Counterargument

The strongest case against this Note's program is not made by defenders of the status quo but by defenders of Fed transparency, and it must be met head-on. The argument runs: the Fed's many voices are a feature, not a bug; a central bank insulated from elections earns its democratic legitimacy by being unusually open about how it thinks; the diversity of views among governors and presidents lets the public watch the policy debate unfold; and any reform that hardens the blackout, or that a centralizing Chair could use to mute dissent, trades that legitimacy for a false tidiness. Ben Bernanke put the core of it years ago: Board members and Reserve Bank presidents "are not the chair's subordinates," the chair "has little or no ability to orchestrate what FOMC participants say," and commentary by participants "allows the public to see the policy discussion in action."⁵⁹ A sitting Reserve Bank president, writing in 2026, defended the same regional diversity as a congressional design choice, not an accident to be engineered away.⁶⁰ Even the current Chair's most prominent critics frame the choice as one between saying less and saying more clearly, with several insisting that the Fed's communication problem is too little

explanation of its reaction function, not too much speech.⁶¹ Powell, for his part, had earlier acknowledged the cost of cacophony while landing, in the end, on accountability—conceding that “the expression of diverse views may sometimes make it difficult for the public to see [a] consensus,” yet insisting that “public accountability is strengthened by open discussion of Committee participants’ views.”⁶² This Note accepts the whole of the accountability case—and contends that its program honors rather than betrays it. The reform defended here does not silence the Fed’s many voices; it does the opposite. By confining the blackout to a clarified, administrable core—a specific decision, a specific window, a supervisory safe harbor—and by attaching modest, evenhanded consequences to its breach, the reform makes the case for keeping the blackout *narrow*. The danger to the Fed’s diverse voices comes not from a well-bounded blackout but from a vague one that a centralizing Chair can stretch. A blackout with clear edges is a blackout that cannot easily become a gag. The accountability argument, properly understood, is an argument for calibration, not against it.

Conclusion

Return, a last time, to the silence the Note began with. For ten days around each meeting, the people who set the price of money say nothing about it, and the world arranges itself around their quiet. The Bowman episode mattered not because a single official sat down to dinner—officials have brushed the line before and will again—but because it briefly made visible how little holds the silence in place. Behind the hard-sounding rule is a soft one: an internal policy the Committee wrote for itself, grounded in its general power to govern its own house, binding in honor but not in law, and enforced by nothing more coercive than a bad headline. When the Fed's top bank supervisor spent a blackout evening with a supervised bank's clients, the machinery that observers imagined would respond turned out not to exist.

That discovery is not an argument for alarm, and still less for the opposite error of converting a narrow, useful silence into a broad and centralizing one. It is an argument for honesty about what the blackout is and modesty about what it should become. The blackout is a good idea imperfectly institutionalized: a sensible norm of self-restraint that the Fed has never bothered to make administrable, drawn around a line—of subject and of setting—that the institution's own role definitions cut across. The cure is calibration, not amplification—codify the rule, define its consequences, clarify its scope, keep its many voices, and bound the exceptions that a centralizing Chair might otherwise exploit. A central bank that has learned, over a century, to speak can afford to keep its silences. It should learn, finally, to mean them.

Notes

1. The St. Louis and Atlanta Federal Reserve Banks each maintain a public explainer describing the blackout, as do most trading-calendar services. The window “begin[s] at 12:00 a.m. Eastern Time the second Saturday before a meeting and end[s] at 11:59 p.m. Eastern Time the day after a meeting.” *FOMC Policy on External Communications of Committee Participants* ¶ 7 (adopted eff. June 22, 2011; reaffirmed eff. Jan. 27, 2026) [hereinafter *Participants Policy*].
2. *Participants Policy* ¶ 7. The companion policy for staff is the *FOMC Policy on External Communications of Federal Reserve System Staff* (adopted eff. June 22, 2011; reaffirmed eff. Jan. 27, 2026) [hereinafter *Staff Policy*], which keys the staff blackout to knowledge of information classified “Class I FOMC – Restricted Controlled (FR).”
3. Kevin Warsh, Opinion, *The Federal Reserve Needs New Thinking*, Wall St. J. (Aug. 24, 2016) (arguing that forward guidance “offers ambiguity in the name of clarity” and “licenses a cacophony of communications in the name of transparency”). Warsh was confirmed and sworn in as Chair in 2026; at his confirmation hearing he reiterated, “Unlike many of my colleagues past and present, I don’t believe in forward guidance.” See *infra* Part IV.B.
4. See Nick Timiraos, *Top Bank Regulator Spoke at an Invite-Only Client Dinner After Fed Meeting*, Wall St. J. (June 19, 2026); *Fed Governor Spoke at Bank of America Dinner During Fed’s Quiet Period*, Wash. Post (June 19, 2026); *Fed’s Bowman Attended Private Dinner During Blackout Window*, Bloomberg (June 20, 2026). The dinner took place in New York on the evening of June 17, 2026—hours after the Committee released its policy decision—and the June 2026 blackout ran from Saturday, June 6 through Thursday, June 18. See *Participants Policy* ¶ 7.
5. Bowman assumed the Vice Chair for Supervision role on June 9, 2025, and through early 2026 was the Committee’s most prominent dovish voice, having dissented at the July 2025 meeting in favor of a quarter-point cut and argued that policy remained “moderately restrictive.” See, e.g., Michelle W. Bowman, *The Outlook for the Economy and Monetary Policy* (Jan. 16, 2026). The June 16–17, 2026 meeting was the first chaired by Kevin Warsh, and the Committee held its target range at 3½–3¾ percent. See *infra* Part IV.B.
6. The concern is one of selective communication. Even the appearance that privileged access has been conferred on some market participants “can unsettle markets, raise questions about fairness, and strengthen the sense that some institutions are closer to the policy conversation than others.” The point is sharpened by Bowman’s dual role: she is the System’s top bank supervisor, and Bank of America is among the institutions she supervises. On the blackout’s anti-selective-disclosure logic and its analogy to Regulation Fair Disclosure, see *infra* Part II.D; on the supervisory-versus-monetary-policy line her position blurs, see *infra* Parts III.F, IV.D.2.
7. See 12 U.S.C. § 263 (Federal Reserve Act § 12A). As Part II explains, the FOMC’s organizational provisions are codified at § 263 alone; the once-numbered §§ 271–272 of Title 12 are not live FOMC provisions, and the “271/272” familiar to Fed lawyers are *Code of Federal Regulations* parts, not *United States Code* sections. See *infra* Part II.A.
8. See *infra* Part III.C (discussing Off. of Inspector Gen., Bd. of Governors of the Fed. Rsrv. Sys. & CFPB, *Report of Investigation: Federal Reserve Bank of Atlanta President’s Trading Activity* (Sept. 4, 2024) [hereinafter *Bostic Report*]).
9. Jeremy C. Stein, quoted in Fed. Rsrv. Hist., *Federal Reserve Transparency* (essay). On the broader arc, see Marvin Goodfriend, *Monetary Mystique: Secrecy and Central Banking* (Fed. Rsrv. Bank of Richmond, Working Paper No. 85-7, 1985).
10. *FOMC v. Merrill*, 443 U.S. 340 (1979) (holding that the FOMC could withhold its Domestic Policy Directive for a limited period under FOIA Exemption 5, but remanding for consideration of whether delayed disclosure was warranted); see *id.* at 359–63. The Committee had already discontinued its detailed Memoranda of Discussion in 1976, during the litigation.
11. See Fed. Rsrv. Hist., *Federal Reserve Transparency*; David E. Lindsey, *A Modern History of FOMC Communication: 1975–2002*, at 122–26 (FOMC Secretariat 2003) (recounting the October–November 1993 transcript episode and the January 27, 1994 House Banking staff report).

12. Press Release, Fed. Open Mkt. Comm. (Feb. 4, 1994) (announcing the first increase in the federal funds rate target since 1989 and noting the decision to announce it contemporaneously). The 1994 announcement inaugurated the modern practice of contemporaneous policy communication.

13. See Fed. Rsrv. Bank of St. Louis, *Changes in Fed Communications in Recent Years* (2014); Bd. of Governors of the Fed. Rsrv. Sys., *Statement on Longer-Run Goals and Monetary Policy Strategy* (Jan. 25, 2012). The first post-meeting press conference was held on April 27, 2011.

14. Lindsey, *A Modern History of FOMC Communication*, at 194 (describing a March 19, 2002 reaffirmation of preexisting rules and understandings, including the communications blackout). The convention predated its codification by years; no single document marks its origin, and it is best described as a matured practice rather than an enacted rule.

15. See *Minutes of the Federal Open Market Committee* (June 21–22, 2011) (recording that the communications subcommittee, chaired by Governor Yellen and composed of Governor Duke and Presidents Fisher and Rosengren, proposed the policies, which the Committee approved unanimously); *Participants Policy*; *Staff Policy*.

16. *Participants Policy* n.1 (“Committee participants’ includes the Committee members and non-voting presidents of the Federal Reserve Banks.”). This uniform reach across governors and presidents will matter in Part II, because the two groups occupy very different legal positions: governors are Presidentially appointed federal officers, while Reserve Bank presidents are officers of regional Reserve Banks. See *infra* Part II.A.

17. *Participants Policy* n.2 (the policy “is binding on all Committee participants”). The same note ties the policy to the more general ethics guidance in the Federal Reserve Administrative Manual, see FRAM § 2-026.1 (“Ethics—Voluntary Guide to Conduct for Senior Officials”)—a juxtaposition (binding policy, voluntary guide) that captures the rule’s hybrid character and recurs in Part III.

18. *Staff Policy* ¶ 7 (during the blackout, staff officers and those with knowledge of “Class I FOMC – Restricted Controlled (FR)” information “will refrain from expressing their views or providing analysis to members of the public about current or prospective monetary policy issues”). The information-classification scheme is set out in the *Program for Security of FOMC Information* (as amended eff. Apr. 8, 2026).

19. The original participants’ and staff policies opened the blackout on “the Tuesday morning of the week prior to” a meeting and closed it on the Thursday following; a 2012 revision restated the start as “midnight Eastern time seven days prior.” See Fed. Open Mkt. Comm., Meeting Materials (June 19–20, 2012) (redlined revisions to the External Communications policies). The live policy PDFs posted by the Board today carry the later, amended text under a header reading “Adopted effective June 22, 2011,” so the original wording must be traced through the 2012 redline rather than the current document.

20. See *Minutes of the Federal Open Market Committee* (Jan. 31–Feb. 1, 2017) (“[T]he amendments consisted of (1) starting the communication blackout earlier (the second Saturday before Committee meetings) All participants supported the revisions, and the Committee voted unanimously to approve the revised policies.”). The minutes record approval but do not state a separate effective date; the change is best cited to the meeting at which it was approved.

21. *Meeting of the Federal Open Market Committee* (Nov. 1–2, 2016) (Transcript) at 5–6 (remarks of Gov. Fischer). The logic is institutional: once participants are in possession of draft alternatives, their public commentary risks revealing or prejudging the Committee’s direction, so the silence should begin when the deliberation does.

22. See Off. of Inspector Gen., Bd. of Governors of the Fed. Rsrv. Sys. & CFPB, *Report of Investigation: Reserve Bank Presidents’ Trading Activity* (Jan. 18, 2024) [hereinafter *Reserve Bank Trading Report*] (recounting the 2020 transactions of Presidents Kaplan and Rosengren). The transactions were first reported in early September 2021.

23. See Off. of Inspector Gen., *Report of Investigation: Board Members’ Trading Activity* (Jan. 18, 2024) [hereinafter *Board Trading Report*]; Press Release, Bd. of Governors of the Fed. Rsrv. Sys. (Jan. 10, 2022) (announcing Vice Chair Clarida’s resignation effective Jan. 14, 2022). Kaplan and Rosengren announced their resignations on September 27, 2021.

24. *Board Trading Report*; see also Off. of Inspector Gen., *Closing Memorandum: Board Trading Activity* (July 11, 2022) (concluding, as to Chairman Powell, that a trust advisor “executed five trades during an FOMC trading

blackout period,” that there was “no evidence” of contemporaneous knowledge, and that the Chairman “did not violate the FOMC trading blackout rule”). The exculpatory findings are important context: the scandal’s significance lies less in proven wrongdoing than in the rules’ failure to “sufficiently support public confidence.”

25. *FOMC Policy on Investment and Trading for Committee Participants and Federal Reserve System Staff* (adopted Feb. 17, 2022; announced Feb. 18, 2022; core provisions eff. May 1, 2022; advance-notice and pre-clearance provisions eff. July 1, 2022; reaffirmed eff. Jan. 27, 2026) [hereinafter *Investment and Trading Policy*]; Press Release, Bd. of Governors of the Fed. Rsrv. Sys., *FOMC Announces Comprehensive New Rules for Investment and Trading Activity* (Feb. 18, 2022).

26. *Investment and Trading Policy* § IV(a)(1) & n.2 (prohibiting covered trades during the period “that begins at 12:00 a.m. Eastern Time the second Saturday before a meeting and ends at 11:59 p.m. Eastern Time the day after a meeting,” and noting that “[t]his period is the same as the communications blackout period”); Press Release (Feb. 18, 2022) (the Committee “extended the financial trading blackout period . . . by one day . . . to align it with the Committee’s external communication blackout period”).

27. 12 U.S.C. § 263 (Federal Reserve Act § 12A). Section 263(b) provides that “[n]o Federal Reserve bank shall engage or decline to engage in open-market operations . . . except in accordance with the direction of and regulations adopted by the Committee,” and directs the Committee to “consider, adopt, and transmit to the several Federal Reserve banks, regulations relating to the open-market transactions.” The open-market power itself derives from § 14 of the Act, 12 U.S.C. § 355.

28. Compare 12 U.S.C. § 263 (statutory basis), with 12 C.F.R. pt. 271 (*Rules Regarding Availability of Information*) and 12 C.F.R. pt. 272 (*Rules of Procedure*). The FOMC’s Government-in-the-Sunshine policy appears at 12 C.F.R. pt. 281 (*Statements of Policy*), § 281.1. A citation to “12 U.S.C. § 272” for FOMC organization will not check out.

29. Bd. of Governors of the Fed. Rsrv. Sys., *FAQs: FOMC Officials’ Investment and Trading Policy* (explaining that Reserve Bank employees “are not executive branch employees” and are therefore ineligible for certain Office of Government Ethics mechanisms). On the contested legal status of the Reserve Banks and their presidents, see Peter Conti-Brown, *The Twelve Federal Reserve Banks: Governance and Accountability in the 21st Century* (Hutchins Ctr. Working Paper No. 10, 2015).

30. *Program for Security of FOMC Information* (as amended eff. Apr. 8, 2026) (defining information classifications and providing that confidential FOMC information must be kept confidential until released by the Chair or the Committee’s secretary).

31. *Federal Open Market Committee Rules of Organization* § 1 (as amended eff. Sept. 20, 2016) (the rules are issued “pursuant to the requirement of section 552 of title 5 . . . that every agency shall publish in the Federal Register a description of its central and field organization”). The invocation of 5 U.S.C. § 552 (the APA’s publication provision) rather than a substantive delegation underscores the housekeeping character of the Committee’s self-governance.

32. See 5 C.F.R. pt. 6801 (*Supplemental Standards of Ethical Conduct for Employees of the Board of Governors of the Federal Reserve System*) (authority: 5 U.S.C. § 7301; Ethics in Government Act of 1978; 12 U.S.C. §§ 244, 248); *id.* § 6801.103 (prohibited financial interests). Part 6801 is the contrast case: a binding, externally enforceable ethics rule, set against the blackout’s internal-policy character.

33. That Congress has repeatedly *proposed*, but never enacted, a statutory blackout confirms the rule’s non-statutory status. See *infra* Part IV.C (discussing the FORM Act, H.R. 3189, 114th Cong. (2015), and the Federal Reserve Blackout Improvement Act, H.R. 4756, 115th Cong. (2018)).

34. See 5 C.F.R. pt. 2635 (OGE Standards of Ethical Conduct); 5 C.F.R. pt. 6801 (Board supplemental standards); 18 U.S.C. § 208 (criminal conflict-of-interest prohibition); Stop Trading on Congressional Knowledge (STOCK) Act, Pub. L. No. 112-105, 126 Stat. 291 (2012) (periodic transaction reporting). Reserve Bank presidents, not being executive-branch employees, are reached functionally through their Reserve Bank codes of conduct and the FOMC policies rather than directly through this apparatus. See *supra* Part II.A.

35. See *United States v. O’Hagan*, 521 U.S. 642 (1997) (misappropriation theory); *Carpenter v. United States*, 484 U.S. 19 (1987); 15 U.S.C. § 78j(b); 17 C.F.R. § 240.10b-5; 18 U.S.C. § 1348 (securities fraud). The STOCK Act

codified that federal officials owe a duty arising from a relationship of trust and confidence with respect to material nonpublic information obtained through their positions.

36. Regulation FD, 17 C.F.R. pt. 243 (adopted in Selective Disclosure and Insider Trading, 65 Fed. Reg. 51,716 (Aug. 24, 2000)). Regulation FD binds securities “issuers”; the FOMC is not an issuer, so the regulation does not apply to it by force of law.

37. *Garcetti v. Ceballos*, 547 U.S. 410 (2006) (speech pursuant to official duties is unprotected); *Pickering v. Bd. of Educ.*, 391 U.S. 563 (1968); *Connick v. Myers*, 461 U.S. 138 (1983). A governor speaking about FOMC monetary policy is speaking in an official capacity about the institution’s core function—the weak end of the protection spectrum—and the Fed’s interests in orderly deliberation and market stability are substantial.

38. On the constitutional anomalies of the Reserve Banks, see Conti-Brown, *The Twelve Federal Reserve Banks*; see also Peter Conti-Brown, *The Power and Independence of the Federal Reserve* (2016). The point is not that a properly drawn blackout would be unconstitutional—it almost certainly would not be—but that the constitutional comfort of the present arrangement depends on its being internal and consensual, a comfort that codification would partly forfeit. This is, so far as the author can determine, an unexamined question in the literature.

39. *Participants Policy* (preamble). The aspirational verbs reinforce the point: participants “will observe” the blackout and “refrain” from expressing views—the grammar of a norm, not of a command backed by sanction.

40. See *supra* Part I.B (quoting FRAM § 2-026.1, “Ethics—Voluntary Guide to Conduct for Senior Officials”). The blackout policy is “binding” by its own terms, yet it complements a “voluntary” guide and supplies no penalty for its own breach—the tension at the heart of the regime.

41. *Reserve Bank Trading Report* (finding that the presidents’ trading created an “appearance of a conflict of interest” but “did not rise to the level of a violation of laws, rules, regulations, or policies,” and closing the investigations). Notably, the OIG found that Rosengren’s 2020 public speeches did not create conflicts because they were “not particular matters”—speech, as such, lay largely outside its enforcement reach.

42. *Board Trading Report* (declining to refer for prosecution under 18 U.S.C. § 1348 and Section 10(b)/Rule 10b-5 for insufficient evidence, while observing that the existing rules “did not sufficiently support public confidence in the impartiality and integrity” of the Committee’s work).

43. *Bostic Report*, at 2, 8, 18 (finding that transactions “were executed on his behalf during multiple blackout periods,” totaling 154 trades from March 2018 through March 2023, and that this conduct “violated . . . the FOMC blackout rule” as well as the disclosure, prohibited-holdings, and pre-clearance rules).

44. *Bostic Report*, at 18 (“[W]e are closing our investigation . . . and referring the matter to the Board for any further action as they deem appropriate.”). No public sanction followed; assertions that “no consequence” attached are properly stated as “no publicly disclosed consequence,” because any internal action by the Board has not been made public.

45. Press Release, S. Comm. on Banking, Hous. & Urb. Affs., *Brown to Federal Reserve: Prohibitions on Stock Trading Need Teeth* (Feb. 20, 2024) (statement of Chairman Sherrod Brown). A bipartisan letter the following year warned of a “culture of corruption at the Fed” and pressed for stronger ethics enforcement. See Letter from Sens. Elizabeth Warren & Rick Scott to the Bd. of Governors (Feb. 14, 2025).

46. Off. of Inspector Gen., Bd. of Governors of the Fed. Rsrv. Sys. & CFPB, *The Board Can Further Enhance the Design and Effectiveness of the FOMC’s Investment and Trading Rules*, Rep. No. 2023-SR-B-006, Recommendation 4 (Apr. 26, 2023) (recommending that the Board formalize a process for determining and enforcing consequences for covered individuals who violate the policy). That recommendation addressed the trading rules; the communications blackout has received no comparable attention.

47. The *Program for Security of FOMC Information* forbids release of confidential information except by the Chair or secretary; the blackout, by contrast, restrains the expression of *views*. Leaking confidential information can implicate insider-trading and related statutes; expressing a policy opinion during the blackout implicates only the internal communications policy.

48. See *Statement of Jeffrey M. Lacker* (Apr. 4, 2017) (acknowledging that, in an October 2, 2012 conversation with an analyst, he had failed to decline comment on confidential information and that his silence “could have been taken

. . . as an acknowledgment or confirmation of the information”). The research firm circulated the information to clients on October 3, 2012.

49. Lacker resigned on April 4, 2017, stating that he should have “declined to comment” and “crossed the line to confirming information that should have remained confidential.” His counsel announced that the Department of Justice had informed Lacker that no charges would be brought.

50. Financial-news services, brokerage research desks, and the regional Reserve Banks all publish the blackout calendar, and routinely note when a quiet week is the product of the blackout rather than coincidence. The transparency of the calendar is itself an enforcement device: deviation is visible in real time.

51. Michelle W. Bowman, *Supervision and Regulation*, Testimony Before the H. Comm. on Fin. Servs. (Dec. 2, 2025) (noting that the Fed was “in the pre-[FOMC] meeting blackout period” and that she “will not be able to discuss monetary policy during today’s hearing,” while delivering full supervisory testimony). The December 2025 appearance shows the line being honored; the June 2026 episode shows how easily it blurs when the same official’s two portfolios overlap.

52. See Eur. Cent. Bank, *What Is the Quiet Period?* (describing a seven-day quiet period before each monetary-policy meeting; noting that “[u]ntil 2014 the ECB called the quiet period ‘purdah’” before changing the name); Bank of Canada, *Blackout Guidelines* (eight days in months with a Monetary Policy Report, seven otherwise); Sveriges Riksbank, *Communication Policy* (seven-day silent period); Bank of Japan, *Changes Concerning Monetary Policy Meetings* (window of a few business days). The Bank of England restricts communications around the announcement period for the Monetary Policy Committee. Exact windows and verbatim formulations should be confirmed against each central bank’s current guidance.

53. Warsh, *The Federal Reserve Needs New Thinking*; see also Kevin Warsh, *Commanding Heights: Central Banks at a Crossroads*, Grp. of Thirty Lecture (Apr. 25, 2025) (“Forward guidance . . . has little role to play in normal times The central bank should find new comfort in working without applause”; criticizing the “swivel chair problem” of officials “rhetorically waxing and waning with the latest data release”). Verbatim quotations should be confirmed against the source documents.

54. See *Transcript of Chairman Warsh’s Press Conference* (June 17, 2026) (“We’ve dropped forward guidance. . . . I . . . have refrained from offering any projections of my own”; announcing a task force on Fed communications and anticipating “a new communications framework . . . by the time that we get to the end of this year”). Press accounts noted the statement had shrunk to roughly 130 words from 341 at the prior meeting. The Committee held the federal funds rate at 3½–3¾ percent.

55. FORM Act of 2015, H.R. 3189, 114th Cong. § 3 (passed House Nov. 19, 2015); Federal Reserve Blackout Improvement Act, H.R. 4756, 115th Cong. (2018) (introduced by Rep. Claudia Tenney). Neither became law. Both would have amended Federal Reserve Act § 12A to define the blackout by statute, fixing its start “one week prior” to a meeting and its end “the day after,” and binding “members and staff of the Committee.”

56. Both bills provided that “[n]othing in this section shall prohibit the Chairman . . . from participating in or issuing public communications,” and exempted “[c]ommunications with respect to the prudential or supervisory functions of the Board of Governors.” H.R. 3189, 114th Cong. § 3. The supervisory carve-out is precisely the line the Bowman episode shows to be doctrinally important and practically slippery. See *supra* Part III.F.

57. See *supra* Part III.C (quoting OIG Recommendation 4). The communications side has no analogue to even the trading rules’ partial machinery; the minimum reform is a written, graduated consequences process—ranging from private counseling, to a documented finding, to public acknowledgment for repeated or egregious breaches—administered by a designated official and reported in the aggregate.

58. See *supra* Part III.F (discussing the Dec. 2, 2025 testimony). The practice is sound but uncodified; a written rule should acknowledge that compelled appearances may fall within the window and confirm that an official’s refusal to discuss current policy in that setting is both expected and protected.

59. Ben S. Bernanke, *Fed Communication*, Brookings Inst. (Nov. 6, 2015). Bernanke’s later work reinforces the point while conceding the cacophony complaint: he proposes *more* centralized information (a quarterly Board-staff

economic review) rather than *less* official speech. See Ben S. Bernanke, *Improving Fed Communications: A Proposal*, Brookings Inst./Hutchins Ctr. (May 16, 2025).

60. See Mary C. Daly, *Regionalism at the Federal Reserve: Many Voices, One Purpose*, Fed. Rsrv. Bank of S.F. Econ. Letter No. 2026-10 (Apr. 13, 2026) (describing the Fed’s charge “to be regional in our work, independent in our thinking, and accountable to those we serve,” and quoting Marvin Goodfriend on the value of “the diversity and number of points of view brought to the table”).

61. See, e.g., Stephen G. Cecchetti & Kermit L. Schoenholtz, *Warsh’s Communications Dilemma: Talk Less, or Say More?*, Money & Banking (June 14, 2026) (“[W]e think that Warsh’s solution to say less has it backwards,” arguing that observers find the FOMC’s reaction function hard to read because the Fed publishes too little about it, not too much). On the foundational tradeoffs, see Alan S. Blinder et al., *Central Bank Communication and Monetary Policy: A Survey of Theory and Evidence*, 46 J. Econ. Literature 910 (2008).

62. Jerome H. Powell, *A View from the Fed*, Remarks at “Understanding FedSpeak” (Hutchins Ctr./Brookings & Johns Hopkins, Nov. 30, 2016). Powell’s formulation captures the tradeoff this Note tries to honor: cacophony is a real cost, but silence is not the only, or the best, way to reduce it.